Dr. **Total creditors account** **Cr.**

Particulars	₹	Particulars	₹
To Cash A/c (paid)	4,50,000	By Balance b/d	1,50,000
To Discount received A/c	20,000	By Purchases A/c (credit)	**4,95,000**
To Balance c/d	1,75,000	(balancing figure)	
	6,45,000		6,45,000

In the books of Abdul

Dr. Trading and Profit and loss account for the year ended 31st March, 2018 Cr.

Particulars	₹	Particulars	₹
To Opening stock	1,00,000	By Sales	6,60,000
To Purchases	4,95,000	By Closing stock	50,000
To Gross profit c/d	**1,15,000**		
	7,10,000		7,10,000
To Discount allowed	25,000	By Gross profit b/d	1,15,000
To Sundry expenses	30,000	By Discount received	20,000
To Net profit (transferred to capital account)	**80,000**		
	1,35,000		1,35,000

Balance Sheet as on 31st March, 2018

Liabilities	₹	₹	Assets	₹
Sundry creditors		1,75,000	Cash	40,000
Capital	2,35,000		Furniture	10,000
Add: Net profit	80,000		Stock	50,000
	3,15,000		Debtors	3,50,000
Less: Drawings	40,000	2,75,000		
		4,50,000		4,50,000

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